

# Larsen & Toubro Ltd

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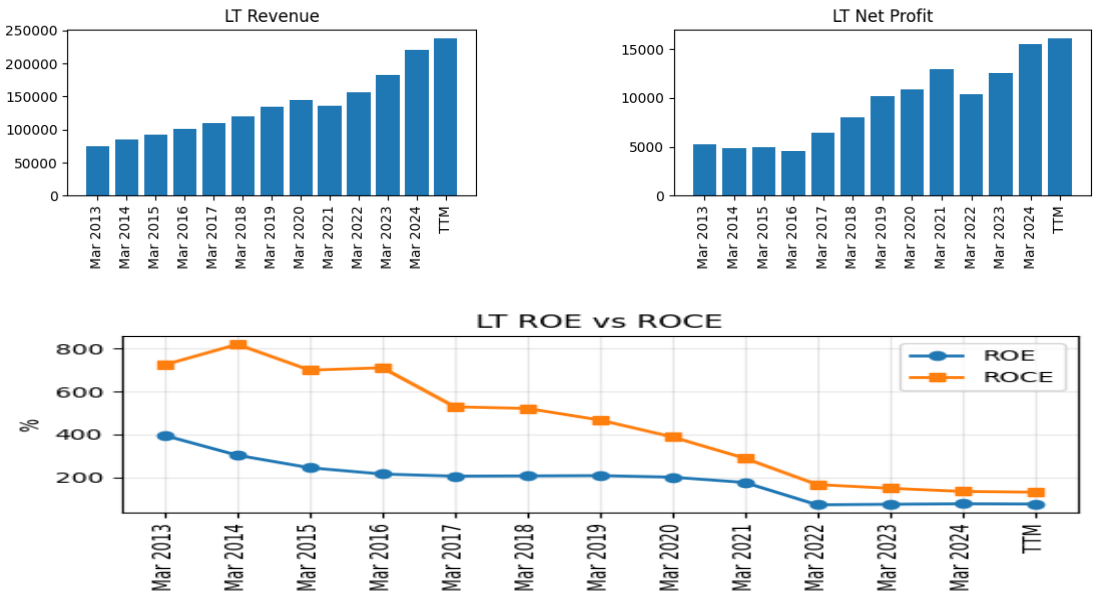
## Key Financial Metrics

|                               |                                  |                               |
|-------------------------------|----------------------------------|-------------------------------|
| <b>ROE</b><br>76.63%          | <b>ROCE</b><br>131.68%           | <b>Debt / Equity</b><br>0.11  |
| <b>Revenue CAGR</b><br>10.41% | <b>FCF Conversion</b><br>117.49% | <b>Quality Score</b><br>68.29 |

## Company Profile

|                   |                            |
|-------------------|----------------------------|
| Company           | Larsen & Toubro Ltd        |
| Sector            | Industrials                |
| Industry          | Engineering & Construction |
| Market Cap (■ Cr) | 1,124,597.50               |
| P/E Ratio         | 30.80                      |
| P/B Ratio         | 2.48                       |
| Dividend Yield    | 1.26%                      |

## Financial Performance



## AI Investment Summary

Larsen & Toubro Ltd maintains healthy financial performance and stable business fundamentals. It currently has excellent profitability, strong capital efficiency, steady revenue growth, accrual risk cash-flow quality and conservative leverage. The overall financial quality score is 68.3/100. Key strengths include: Consistently high return on equity above 20% demonstrates exceptional capital efficiency.; Strong free cash flow generation over 5 years signals healthy business fundamentals.. Key risks include: Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.. Investment recommendation: Buy. Overall, the company appears to be financially strong with manageable risks.

Pros & Cons

|                                                                                                                                                                                                                                        |                                                                                                                                                        |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Pros</b>                                                                                                                                                                                                                            | <b>Cons</b>                                                                                                                                            |
| <ul style="list-style-type: none"><li>Consistently high return on equity above 20% demonstrates exceptional capital efficiency.</li><li>Strong free cash flow generation over 5 years signals healthy business fundamentals.</li></ul> | <ul style="list-style-type: none"><li>Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.</li></ul> |

Investment Recommendation

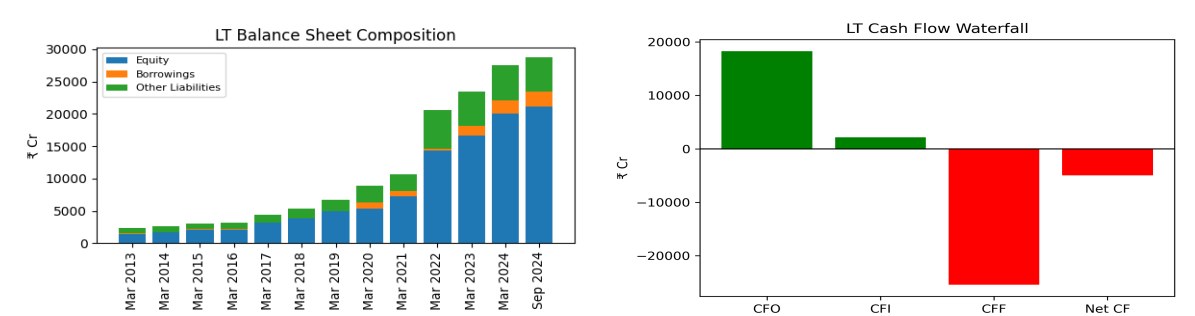
|                |      |
|----------------|------|
| Recommendation | BUY  |
| Risk Level     | LOW  |
| Confidence     | HIGH |

Recommendation Reason:

The recommendation is based on an adjusted financial score of 68.3/100, supported by 2 identified strengths, 1 identified risks, and cash-flow quality rated as Accrual Risk.

Adjusted Score: 68.3

Balance Sheet & Cash Flow



Financial Health

|               |        |
|---------------|--------|
| Profitability | Strong |
| Growth        | Strong |
| Cash Flow     | Strong |
| Leverage      | Strong |
| Valuation     | Fair   |

Capital Allocation

Liquidating Assets